

Honeywell

Updating Model to Reflect Aero Spin; Establishing PT of \$250

We are updating our model to reflect the Aerospace spin and updated Honeywell Technologies guidance. We see upside to the midpoint of 2026 EPS guidance helped by improving organic growth trends, with double digit EPS growth (excluding the impact of stranded cost, trademark license fee) in 2027, with upside assuming volume acceleration, with cycle timing favorable particularly at IA and PA&T, and continued ~DD order trends at BA. If HON delivers to the MT algorithm laid out, which we see a credible pathway to (see [link](#) to investor day takeaway note), we think there is no reason HON can't re-rate to a sector multiple. We establish our price target of \$250 assuming a 22x multiple (~on par with the sector) on our FY27 estimate and accounting for the Quantinuum stake, and reiterate our OW rating.

- Establishing estimates.** We update our model to reflect the Aerospace spin and updated Honeywell Technologies guidance. Our '26/'27 adj EPS estimates go to \$8.30/\$10.00 ('26 EPS guide of \$3.95-4.15 before 1-for-2 reverse stock split). For '26, we assume sales increase +2.7% organically (+2-3% guide), with pricing +3.9% and volumes -1.2%, while acq/div is a ~1.6% headwind. We model segment margins at 20.1% (19.8-20.3% guide). By segment, we assume IA +1% organic (~flat guide) on 17.6% margins, BA +6.5% organic (MSD+ guide) on 27.1% margins, and PA&T flat organic (~flat guide) on 23.2% margins. For '27, we assume organic sales up 4.5% (4-6% three year target) with pricing +3.5% and volumes +1.0%, while acq/div is a ~5.7% headwind. We model segment margins at 23.6%. By segment, we assume IA +2% organic on 23.0% margins, BA +4% organic on 27.6% margins, and PA&T +7% organic on 23.5% margins. On FCF, we model \$2.0 B/\$2.9 B for 2026/2027 or 77%/93% conversion, with 2H26 FCF of ~\$1.5B or ~97% conversion. In terms of capital allocation, we model capex at ~3% of sales in 2026/2027 and R&D at 4.8%/4.5% of sales in 2026/2027. We expect HON to prioritize debt paydown in the near term with gross leverage expected to be below 3x by 2026 end and below 2.5x in ~two years. We assume annual dividend payout ratio of 35% of net income and 1% from share repo, both in line with medium term guidance.

Overweight

HON, HON US

Price (02 Jul 26):\$229.86

▼ **Price Target (Dec-26):\$250.00**

Prior (Dec-26):\$260.00

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J.P. Morgan Securities LLC

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (\$)	10.30	8.30	-19.5%
Adj. EPS - 27E (\$)	11.80	10.00	-15.3%

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1	1.18	1.80A	
Q2	1.75	1.80	
Q3	1.68	2.33	
Q4	1.85	2.36	
FY	6.46	8.30	10.00

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 7 for analyst certification and important disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	17.8%	-2.3%	0.2%	-3.9%
Rel	8.5%	-0.6%	-13.5%	-24.1%

Company Data

Shares O/S (mn)	319
52-week range (\$)	260.15-195.77
Market cap (\$ mn)	73,371.31
Exchange rate	1.00
Free float (%)	99.9%
3M ADV (mn)	2.60
3M ADV (\$ mn)	1,074.3
Volatility (90 Day)	32
Index	S&P 500
BBG ANR (Buy Hold Sell)	18 7 1

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E
Financial Estimates			
Revenue	19,945	20,141	19,900
Adj. EBITDA	3,349	4,663	5,309
Adj. EBIT	3,349	3,756	4,402
Adj. net income	2,074	2,649	3,173
Adj. EPS	6.46	8.30	10.00
BBG EPS	19.99	18.21	17.05
Cashflow from operations	0	2,651	3,545
FCFF	0	2,046	2,948
Margins and Growth			
Revenue Growth Y/Y (%)	3.4%	1.0%	(1.2%)
EBITDA margin	16.8%	23.1%	26.7%
EBITDA Growth Y/Y (%)	3.3%	39.2%	13.9%
EBIT margin	16.8%	18.6%	22.1%
Net margin	10.4%	13.2%	15.9%
Adj. EPS growth	6.8%	28.5%	20.5%
Ratios			
Adj. tax rate	19.0%	19.0%	19.0%
Interest cover	4.3	9.6	10.9
Net debt/Equity	-	0.4	0.4
Net debt/EBITDA	0.0	1.8	1.5
ROCE	-	19.1%	11.0%
ROE	-	28.8%	16.7%
Valuation			
FCFF yield	0.0%	2.8%	4.0%
Dividend yield	0.0%	1.3%	1.5%
EV/Revenue	3.7	4.1	4.1
EV/EBITDA	21.9	17.8	15.5
Adj. P/E	35.6	27.7	23.0

Summary Investment Thesis and Valuation

Investment Thesis

We view that HON's margin expansion in core ops is 1) front loaded helped by operational self-help at IA and cycle timing and 2) the 24% targeted by 2029 does not rely on volumes, driven by price cost, cost productivity supported by a shift to a shared services model and a mix shift toward services and software targeted to exceed 45% of revenue; if there are volumes there is upside. Pricing guided in the 3-4% range is impressive in our view, underscoring the differentiation of offerings, driven by Forge's connected strategy, NPI, and proximity to customers, with opportunity for improvement at IA. Bottom line, HON provided 2029 targets ahead of expectations, backed by a credible pathway driving 10%+ EPS growth algorithm on par with the multi-industry sector, with further opportunity for upside. We establish our PT of \$250 and reiterate OW rating.

Valuation

Our Dec 2026 price target of \$250, down from \$260, assumes a ~5% discount to our group target P/E multiple of ~23x, reflecting HON's growth and cash flow characteristics, while accounting for the Quantinuum stake. Our group target multiple is ~23x, at a premium (above the historical 5-10% sector average) to the S&P 500 FY2 multiple reflecting cycle timing.

Figure 1: HON Estimates

	2026	2027
	Current	Current
SALES		
Industrial Automation	5,286	3,843
Building Automation	7,846	8,160
Process Automation & Technology	<u>7,010</u>	<u>7,898</u>
SALES	\$20,141	\$19,900
PROFITS		
Industrial Automation	928	884
Building Automation	2,122	2,252
Process Automation & Technology	1,623	1,856
Corporate	<u>(617)</u>	<u>(290)</u>
PROFITS	\$4,056	\$4,702
Segment Margin	20.1%	23.6%
Net Interest	(485)	(485)
Other Below-the-liners	(300)	(300)
Tax rate	19.0%	19.0%
Share count	319	317
EPS	\$8.30	\$10.00
FCF (\$ billions)	\$2.0	\$2.9
Segment margins		
Industrial Automation	17.6%	23.0%
Building Automation	27.1%	27.6%
Process Automation & Technology	23.2%	23.5%

Source: J.P. Morgan estimates.

In terms of the EPS Bridge, in 2026 we dial in low 30% core volume incrementals, ~90c price cost benefit, ~50c stranded cost tailwind, ~20c tailwind from trademark license fee, ~15c acq/div tailwind and ~45c BTL tailwind driven by interest expense, and ~5c tailwind from share count. In 2027, we dial in low 30% core volume incrementals, ~75c price cost benefit, ~65c stranded cost tailwind, ~20c tailwind from trademark license fee, offset by 10c acq/div headwind, and ~5c tailwind from share count.

Figure 2: HON EPS Bridge

	26 JPM	27 JPM
Beginning	6.46	8.30
Price/Cost	0.89	0.74
Currency	0.00	0.00
Corporate	(0.01)	0.00
Stranded Cost	0.50	0.65
Trademark License Fee	0.19	0.19
Acquisitions/Divestitures	0.14	(0.10)
Other	(0.11)	0.00
Aggregate Below The Line	0.46	0.06
<i>Gains/Other income</i>	(1.15)	0.00
<i>Interest</i>	0.76	0.00
<i>Stock Comp</i>	(0.02)	0.00
<i>Repositioning/Other Charges</i>	0.81	0.00
<i>Share Count</i>	0.05	0.06
<i>Tax rate</i>	0.00	0.00
Base	8.51	9.84
Volume/Mix	(0.22)	0.16
Ending	8.30	10.00
Prior Year Sales	19,945	20,141
Current Year Sales	20,141	19,900
Current Year Price	773	705
Current Year Currency	0	0
Current Year Acquisitions	(314)	(1,151)
Current Year Organic Volume Sales	(263)	205
Organic Volume Growth	-1%	1%
Implied \$ Profit Incr/(Decr)	(85)	63
Implied Incr/Decr Margin	32%	31%

Source: J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Honeywell (*Overweight; Price Target: \$250.00*)

Investment Thesis

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Risks to Rating and Price Target

Downside risks to our rating and price target include (1) a moderation in the degree of pricing power/margin improvement, (2) declines in global commodity prices hurting related businesses at HPS and UOP, (3) a slowdown in key short cycle industrial end markets, and (3) execution risk around future potential acquisitions that could weaken management's track record on capital allocation.

Honeywell: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly				
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26E	3Q26E	4Q26E
Revenue	19,281	19,945	20,141	19,900	-	Revenue	4,823A	4,947	5,364	5,008
COGS	(11,507)	(12,065)	(12,085)	(11,741)	-	COGS	(2,918)A	(2,993)	(3,245)	(2,929)
Gross profit	7,774	7,880	8,056	8,159	-	Gross profit	1,905A	1,954	2,119	2,079
SG&A	(4,513)	(4,663)	(4,431)	(3,881)	-	SG&A	(1,129)A	(1,158)	(1,255)	(890)
Adj. EBITDA	3,242	3,349	4,663	5,309	-	Adj. EBITDA	1,058A	1,058	1,266	1,280
D&A	0	0	(907)	(907)	-	D&A	(227)A	(227)	(227)	(227)
Adj. EBIT	3,242	3,349	3,756	4,402	-	Adj. EBIT	831A	831	1,039	1,053
Net Interest	(797)	(788)	(485)	(485)	-	Net Interest	(121)A	(121)	(121)	(121)
Adj. PBT	2,445	2,561	3,271	3,917	-	Adj. PBT	710A	710	918	932
Tax	(465)	(487)	(621)	(744)	-	Tax	(135)A	(135)	(174)	(177)
Minority Interest	0	0	0	0	-	Minority Interest	0A	0	0	0
Adj. Net Income	1,980	2,074	2,649	3,173	-	Adj. Net Income	575A	575	744	755
Reported EPS	6.05	6.46	8.30	10.00	-	Reported EPS	1.80A	1.80	2.33	2.36
Adj. EPS	6.05	6.46	8.30	10.00	-	Adj. EPS	1.80A	1.80	2.33	2.36
DPS	0.00	0.00	2.90	3.50	-	DPS	-	-	-	-
Payout ratio	0.0%	0.0%	35.0%	35.0%	-	Payout ratio	-	-	-	-
Shares outstanding	327	321	319	317	-	Shares outstanding	319A	319	319	319
Balance Sheet & Cash Flow Statement						Ratio Analysis				
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	0	0	4,764	5,602	-	Gross margin	40.3%	39.5%	40.0%	41.0%
Accounts receivable	0	0	4,784	5,058	-	EBITDA margin	16.8%	16.8%	23.1%	26.7%
Inventories	0	0	1,804	1,806	-	EBIT margin	16.8%	16.8%	18.6%	22.1%
Other current assets	0	0	10,443	10,720	-	Net profit margin	10.3%	10.4%	13.2%	15.9%
Current assets	0	0	15,208	16,322	-	ROE	25.0%	-	28.8%	16.7%
PP&E	0	0	2,471	2,433	-	ROA	6.4%	-	11.4%	6.8%
LT investments	0	0	1,298	1,298	-	ROCE	14.5%	-	19.1%	11.0%
Other non current assets	0	0	6,013	6,013	-	SG&A/Sales	23.4%	23.4%	22.0%	19.5%
Total assets	0	0	46,556	47,360	-	Net debt/equity	-	-	0.4	0.4
Short term borrowings	0	0	7,724	7,724	-	P/E (x)	38.0	35.6	27.7	23.0
Payables	0	0	3,357	2,870	-	P/BV (x)	-	-	4.0	3.7
Other short term liabilities	0	0	5,246	5,298	-	EV/EBITDA (x)	22.6	21.9	17.8	15.5
Current liabilities	0	0	16,327	15,892	-	Dividend Yield	0.0%	0.0%	1.3%	1.5%
Long-term debt	0	0	5,664	5,664	-	Sales/Assets (x)	0.6	-	0.9	0.4
Other long term liabilities	0	0	9,884	9,902	-	Interest cover (x)	4.1	4.3	9.6	10.9
Total liabilities	0	0	27,159	26,741	-	Operating leverage	117.3%	95.8%	1234.3%(1437.8%)	-
Shareholders' equity	0	0	18,423	19,646	-	Revenue y/y Growth	(47.4%)	3.4%	1.0%	(1.2%)
Minority interests	0	0	973	973	-	EBITDA y/y Growth	(61.8%)	3.3%	39.2%	13.9%
Total liabilities & equity	0	0	46,556	47,360	-	Tax rate	19.0%	19.0%	19.0%	19.0%
BVPS	0.00	0.00	57.69	61.89	-	Adj. Net Income y/y Growth	(59.6%)	4.7%	27.7%	19.8%
y/y Growth	(100.0%)	-	-	7.3%	-	EPS y/y Growth	(17.6%)	6.8%	28.5%	20.5%
Net debt/(cash)	0	0	8,624	7,786	-	DPS y/y Growth	(100.0%)	-	-	20.5%
Cash flow from operating activities	0	0	2,651	3,545	-					
o/w Depreciation & amortization	0	0	907	907	-					
o/w Changes in working capital	0	0	(1,083)	(713)	-					
Cash flow from investing activities	0	0	(604)	(597)	-					
o/w Capital expenditure	0	0	(604)	(597)	-					
as % of sales	0.0%	0.0%	3.0%	3.0%	-					
Cash flow from financing activities	0	0	(7,964)	(2,110)	-					
o/w Dividends paid	0	0	(464)	(1,110)	-					
o/w Net debt issued/(repaid)	0	0	(7,500)	0	-					
Net change in cash	0	0	(5,917)	837	-					
Adj. Free cash flow to firm	0	0	2,046	2,948	-					
y/y Growth	(100.0%)	-	-	44.0%	-					

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Honeywell (HON, HON US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 30, 1996. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
06-Oct-23	OW	180.02	238
12-Feb-24	OW	194.84	221
29-Apr-24	OW	193.45	220
04-Jun-24	OW	202.46	225
10-Oct-24	N	213.70	235
25-Oct-24	N	209.10	233
15-Jan-25	N	218.50	231
07-Feb-25	N	209.82	205
08-Apr-25	N	187.46	178
30-Apr-25	N	211.49	182
16-May-25	N	222.29	217
24-Jul-25	N	239.27	222
15-Oct-25	N	208.61	212
23-Oct-25	N	206.61	218
16-Jan-26	OW	215.02	255
30-Jan-26	OW	227.24	260

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IB clients**	95%	92%	87%

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